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Honey v. The King, 2026 TCC 170 — "reasonable amount" as the Crown's weapon against 10/8 policies

...

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Honey TCC · 17 pages

BETWEEN: Docket: 2020-2374(IT)G
GLENN HONEY, Appellant,
and
HIS MAJESTY THE KING, Respondent;
Docket: 2020-2376(IT)G
AND BETWEEN: GREG HONEY, Appellant,
and
HIS MAJESTY THE KING, Respondent.

Appeals heard together February 5 to 8 and 12 to 13, 2024 in Calgary, Alberta and heard virtually May 16, 2024, at Ottawa, Ontario and final submissions filed June 6 and 12, 2024

Before: The Honourable Justice Bruce S. Russell

Appearances:

Counsel for the Appellants: Gregory J. Leia
Counsel for the Respondent: Wendy Bridges
Sonia Lee

JUDGMENT

These two appeals are both denied, in accordance with the associated Reasons for Judgment, with costs to the respondent.

Should the parties not reach agreement as to quantum of costs, they are requested to file with the Court and serve upon each other, by October 15, 2026,

Page: 2

written submissions as to costs, not exceeding eight pages total for both appellants and eight pages for the respondent.

Signed this 15th day of September 2026.

"B. Russell"
Russell J.

BETWEEN:

AND BETW

Russell J.

I. Introduction

[1] These Honey. Each 2013 taxator federal Incon

[2] The ap 2011 taxator taxation year confirmed th



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GIF



Most relevant ▾



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It seems to me the most relevant takeaway for some current leveraged insurance planning is that the courts are willing to look past the paperwork and collapse the plan to address its economic circularity and quantum. While here it was done on somewhat subjective grounds, related plans today could be standing on a brutally mathematical statutory trapdoor.



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[David Kakon](#) Circularity in this particular case was only dispositive in determining the non-arm's

length status of the parties, thus rebutting the appellants position that the interest rate was reasonable because it was an established rate in the "10/8 market". In Shell, it was indicated that a reasonable interest rate is established in a market of lenders and borrowers acting at arm's length from each other.



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Patrick Uzan, you are surely more expert on the 10/8 litigation details than I am; however, my point in referencing the above was primarily to highlight the Court's judicial willingness to look past piecemeal paperwork and view multi-contract financing as an integrated composite arrangement.

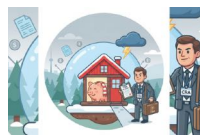
Viewed through that lens, where an IFA (the 10/8's cooler cousin) satisfies the objective criteria of an unregistered tax shelter, the CRA doesn't need to argue the reasonableness of the interest rate at all; it simply relies on subsection 237.1(6) to mechanically disallow 100% of the claimed deductions.



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David Kakon <https://altrolaw.com/when-everything-starts-looking-like-a-tax-shelter-see-your-therapist-or-re-read-driedger/>



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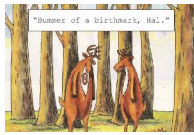
3d ...

Patrick Uzan, I've read that article, and its premise is about ordinary commercial borrowing. However, the article makes no mention of leveraged insurance products that are structured and presented as an integrated arrangement.

If you look at an IFA illustration, the policy and the credit facility aren't isolated—they rely on a highly orchestrated, circular flow of funds (Premium → Collateral → Loan → Investment) specifically designed to convert a non-deductible expense into a 20(1)(c) write-off and to achieve a NET position between the debt and the policy payout.

An IFA is not a policyholder simply putting up their existing policy for a much-needed business loan. The whole arrangement is set up, pitched, and orchestrated as a single package. In fact, the policy and the loan are underwritten at the same time. The lending bank typically requires the promoter's integrated tax illustration to approve the loan; the arrangement's own paperwork defeats the "ordinary, unbundled borrowing" defence.

For a full breakdown of the statutory mechanics of an IFA, you can read the analysis I prepared here: <https://tax-shelter.ca>



Is My IFA a Tax Shelter? (In Plain English)

tax-shelter.ca



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David Kakon 1/22 I am fully familiar with the statutory mechanics of both an immediate financing arrangement and the tax-shelter rules, including subsection 237.1(1), section 143.2 and the prescribed-benefit rules in Regulation 3100. Having reviewed your analysis, I do not agree that the degree of commercial coordination you describe establishes that a conventional IFA is a tax shelter.

1. A properly advised IFA does not begin with leverage

You may be familiar with advisors who lead with an IFA and market the insurance and borrowing as a single "package." That is not how advisors consulting with us at PPI are instructed to proceed.

The first substantive point in our presentations dealing with insured leveraging is always:

Establish the insurance need.

The starting point is a genuine need for permanent life insurance. The client's insurance requirement should be established and the policy appropriately sized based on estate liquidity, tax exposure, business succession, shareholder obligations, estate equalization, charitable objectives or another bona fide insurance need.



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2/22 Only after the insurance need has been established should the client consider how the policy will be funded and whether collateral borrowing is suitable. The insurance is not purchased only if the borrowing is undertaken.

In my own experience, after an IFA strategy has been illustrated and explained to a client, the implementation rate for the borrowing arrangement may be only approximately one in 25 cases. That is highly inconsistent with the suggestion that clients generally perceive the policy and loan as an inseparable package. In the great majority of cases, the client considers the insurance independently and either declines or defers the leveraging component.

Any advisor who begins the insurance conversation by selling the IFA concept, before establishing the client's insurance need and suitability, is doing the client a disservice. Poor sales practices in a particular case should not be elevated into a characterization of every conventional IFA.

2. Appropriate IFA practice reflects separate legal and commercial decisions

A properly advised IFA requires separate consideration of:

A properly advised IFA requires separate consideration of:

the client's permanent insurance need;

the appropriate amount and type of coverage;

the ownership and beneficiary structure;



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3/22 the client's ability to fund the policy without borrowing;

the client's creditworthiness;

the terms and recourse of the loan;

the client's tolerance for leverage;

the intended use of the borrowed funds;

the income-earning purpose required by paragraph 20(1)(c);

interest payment and tracing requirements;

collateral adequacy and the possibility of collateral calls;

the repayment source and repayment term;

the consequences if interest deductibility is denied;

the effect of lower policy values or investment losses; and

the need for continuing legal, tax and financial review.

Our IFA checklist is designed around precisely these considerations. It requires confirmation of a genuine insurance need, suitability for leverage, clear tracing of loan proceeds to an income-earning use, proper documentation and payment of interest, a bona fide repayment strategy, review of collateral and taxation risks, and continuing monitoring by the client's professional advisors.

Those safeguards do not make an IFA immune from the tax-shelter rules. They do, however, contradict the suggestion that the conventional arrangement is simply a prefabricated tax product in which the insurance, loan and investment are inseparable.



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4/22 3. Commercial coordination does not itself create a tax shelter

I do not dispute that the policy, collateral assignment, loan and investment may be considered together when assessing the overall economics and risks of an IFA. Commercial coordination, however, does not answer the statutory question.

Many legitimate commercial transactions involve coordinated steps and interdependent documentation. A mortgage lender requires an appraisal of the mortgaged property. A securities lender assesses the value, liquidity and volatility of the pledged securities. A lender accepting a life insurance policy as collateral reviews the policy illustration and projected cash surrender values.

These are ordinary collateral-underwriting practices.

Your statement that the lender typically requires the promoter's "integrated tax illustration" to approve the loan does not accurately describe the normal lending process in the cases with which I am familiar. The lender requires the life insurance illustration and other relevant financial information to assess:

the projected collateral value;

the applicable loan-to-value ratio;

the borrower's creditworthiness;

the borrower's debt-servicing capacity;

the need for additional collateral; and



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5/22 the lender's overall credit exposure.

That is fundamentally different from a lender requiring a promoter's integrated "tax-savings illustration" as the basis for approving the facility.

The fact that the policy and loan may be considered or underwritten at approximately the same time also proves little. A client may reasonably want to know whether collateral financing is available. Simultaneous due diligence does not mean that the insurance exists only because of the loan, nor does it merge legally distinct property and obligations into a single tax shelter.

4. "Circularity" is not a statutory test

The description "Premium → Collateral → Loan → Investment" is rhetorically effective, but it is legally incomplete. The transactions are more accurately described as follows:

The policyholder pays a premium and acquires enforceable contractual insurance rights.

The policyholder grants the lender a collateral security interest in the policy.

An independent lender advances funds under a legally binding credit agreement.

The borrower remains liable for principal and interest.

The borrower uses the loan proceeds to acquire or fund income-producing property or a business.



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6/22 The borrower remains exposed to interest-rate, collateral, investment and repayment risks.

Calling this flow "circular" does not determine its tax treatment.

In *Singleton v. Canada*, the taxpayer withdrew capital from his law partnership to acquire a home and then borrowed funds to restore his partnership capital. The transactions were deliberately sequenced and economically circular in the broad sense used in your response. Nevertheless, the Supreme Court of Canada held that the borrowed funds had been directly used for an eligible income-earning purpose and that the interest was deductible.

Singleton demonstrates that circular or prearranged movements of funds are not inherently offensive. The legal relationships, direct use of the borrowed money and applicable statutory language remain decisive, absent sham, ineffective transactions, a specific anti-avoidance provision or the application of GAAR.

Circularity may be relevant evidence in a particular surplus-stripping, sham, GAAR or other avoidance analysis. It is not, by itself, a rule of tax law, nor is it an element of the statutory definition of "tax shelter."

5. The borrowed funds generally acquire separate income-producing property



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7/22 In many IFAs, there is no predetermined investment property selected, issued or supplied by the insurance advisor. The client chooses how to use the borrowed funds, subject to the income-earning-use requirement in paragraph 20(1)(c), the direct-use tracing rules and any restrictions imposed by the lender.

Depending on the circumstances, the client may use the borrowed funds to:

acquire marketable securities;

contribute capital to an operating business;

acquire income-producing real estate;

refinance qualifying business expenditures;

repay existing borrowing whose direct use qualifies under paragraph 20(1)(c); or

make another qualifying income-producing investment.

This creates a fundamental difficulty with your “package” characterization. If the relevant property for subsection 237.1(1) is the investment acquired with the borrowed funds:

the client may select it independently;

its identity may change over time;

it may not be issued, sold or promoted by the insurance advisor;

the client incurs the actual acquisition cost of that property;

the interest deduction arises from the direct use of the borrowing to acquire or fund that property or business; and



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8/22 the insurance policy serves as collateral security rather than as the property acquired with the borrowing.

Subsection 237.1(1) is not triggered merely because an interest deduction has been discussed or illustrated. The represented losses, deductions or credits must satisfy the statutory mathematical test in respect of the identified interest in property.

For example, if a client borrows \$1 million and uses the full amount to acquire \$1 million of income-producing investments, the client has incurred a \$1 million cost in respect of those investments. Four years of projected interest deductions would ordinarily be materially less than the \$1 million investment cost. Without a prescribed benefit that reduces the investment's net cost for purposes of the calculation, the statutory mathematical test would not be satisfied.

6. The insurance policy cannot simply be nominated as the tax-shelter property

If the position is instead that the life insurance policy itself is the relevant tax-shelter property, there are at least two significant problems.



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9/22 First, the interest is not represented as deductible because the insurance policy was acquired. Paragraph 20(1)(c) generally precludes an interest deduction where borrowed money is used to acquire a life insurance policy. subject to the separate and limited rules governing

collateral insurance deductions.

The IFA interest claim depends upon the borrowed funds being directly used for the purpose of earning income from a business or property. The deduction therefore arises from the qualifying use of the loan proceeds, not from the acquisition of the insurance policy.

Second, the policyholder acquires substantive contractual rights in exchange for the premiums. These can include:

a death benefit;

cash surrender values;

contractual guarantees;

dividend or other policy-value rights where applicable; and

the transfer of mortality risk to the insurer.

Those rights exist whether or not a collateral loan is implemented. The premium is not a fictitious expenditure or an artificial loss created solely to generate a tax deduction.



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10/22 It is analytically inconsistent to treat the policy and investment as an integrated property for the purpose of associating the interest deductions with the policy, while disregarding the cost of one or both components when applying the mathematical test.

If the alleged “package” includes both the policy and the income-producing property acquired with the borrowed funds, the cost side of the subsection 237.1(1) calculation must correspondingly take account of the costs associated with that asserted package. The taxpayer ordinarily incurs both substantial insurance premiums and the actual cost of the income-producing property. Including both makes satisfaction of the mathematical test less plausible, not more.

7. The phrase “in respect of” does not eliminate the need to identify the property

The phrase “in respect of” is broad, but it is not limitless. It cannot be used to disregard the structure of subsection 237.1(1) or eliminate the requirement that the represented deductions relate to the interest in property being offered for sale.



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11/22 A broad contextual relationship between insurance, collateral and borrowing does not necessarily mean that an interest deduction arising from the use of borrowed money to purchase marketable securities is a deduction “in respect of” the insurance policy.

marketable securities is a deduction in respect of the insurance policy.

If every deduction that would not have arisen "but for" a series of commercially related transactions were treated as being "in respect of" every property involved in that series, the property-specific comparison required by the definition would lose much of its meaning. That would risk turning numerous ordinary secured financing arrangements into tax shelters merely because tax consequences were considered when the transactions were planned.

The connection must be examined in relation to the actual property offered, the nature of the representation, the legal source of the deduction and the statutory calculation.

8. A full-recourse commercial loan involves genuine economic exposure

A conventional IFA loan is generally a genuine, interest-bearing and full-recourse obligation. The borrower may be exposed to:

increases in variable interest rates;

collateral calls;

lower-than-illustrated policy values;

investment losses;



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12/22 a denial or interruption of interest deductibility;

changes in tax rates;

refinancing risk;

mandatory principal repayments;

lender credit reviews; and

personal or corporate liability for a shortfall.

The life insurance does not make the debt disappear. If policy proceeds are eventually applied against the loan, value that would otherwise have been payable to the beneficiary is used to discharge a real liability. The net amount ultimately received by the beneficiary is correspondingly reduced.

An expectation that an insurance benefit may eventually assist with repayment is not equivalent to legal non-recourse. Nor does it mean that the borrower is protected from economic loss during the potentially lengthy period before the insured's death.

The distinction between security and limited recourse is important. A lender's ability to realize on

collateral does not mean its recourse is limited to the collateral. Secured commercial lenders routinely take collateral while retaining full legal recourse against the borrower and, where applicable, guarantors.

9. Section 143.2 must be applied to the actual loan terms



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13/22 Section 143.2 and Regulation 3100 must, of course, be considered. In particular, subsection 143.2(7) may deem unpaid principal to be a limited-recourse amount unless the statutory conditions are satisfied.

This is why a properly structured IFA should include bona fide written arrangements, made when the indebtedness arises, providing for repayment of principal and interest within a reasonable period not exceeding ten years, together with compliance with the applicable interest-payment requirements.

IFA loans from lenders active in this market are commonly full recourse, with repayment terms not exceeding ten years established at the outset. The existence of policy collateral does not, by itself, make the indebtedness limited recourse.

The relevant questions include:

Does the lender have legal recourse beyond the policy?

Is the borrower personally or corporately liable for any deficiency?

Were bona fide written repayment terms established when the debt arose?

Is the stated repayment period reasonable and no longer than ten years?

Is interest actually paid within the required period?

Are renewals genuinely reconsidered, rather than contractually assured from inception?



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14/22 Are there side agreements or practical limitations that negate the lender's apparent legal recourse?

Those are factual and legal questions. They cannot be answered simply by observing that the policy has been pledged as collateral or that death-benefit proceeds may ultimately be used to discharge the liability.

If a particular arrangement uses indefinite borrowing, automatic renewals, artificial repayment provisions, limited recourse or side agreements that insulate the borrower from genuine liability,

provisions, limited recourse or side agreements that insulate the borrower from genuine liability, the analysis may be different. That would be a problem with the particular arrangement, not a basis for treating every conventional IFA as a tax shelter.

10. The expected death benefit is not automatically a prescribed benefit

The expectation that life insurance proceeds may ultimately contribute to loan repayment does not automatically make the policy or death benefit a prescribed benefit that reduces the taxpayer's cost of the income-producing property.



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15/22 The borrower has paid premiums to acquire the policy and has granted the lender security over it. If the loan remains outstanding when the death benefit is paid, applying part of that benefit to the debt reduces the net proceeds otherwise available to the beneficiary. The borrower's estate, corporation or beneficiary therefore bears the economic consequence of the indebtedness.

There is a material distinction between:

a genuine asset pledged as security for full-recourse borrowing; and

an amount or benefit designed to protect the investor from the cost or economic risk of the property being promoted.

If ordinary collateral value were itself sufficient to constitute a prescribed benefit equal to the secured indebtedness, the same reasoning could potentially apply to mortgages, securities-backed loans and many other conventional secured credit arrangements. That would extend the tax-shelter regime far beyond its text and evident purpose.

11. The existence of a tax illustration is not determinative

A sophisticated financial strategy may include projections showing:

premiums;

loan balances;

interest expense;

collateral values;

investment assumptions;

estimated tax deductions;

projected policy values; and



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16/22 the anticipated net estate position.

The existence of such an illustration does not establish that the underlying property is a tax shelter. It demonstrates that the advisor has attempted to show the client the projected economics, including material risks and tax assumptions.

The tax-shelter question is not whether tax consequences have been illustrated. It is whether statements or representations were made, in connection with the property being offered, that the statutory amount of losses, deductions or credits would equal or exceed the taxpayer's net cost within the prescribed period.

A comprehensive illustration may actually be necessary to disclose the risks of the arrangement responsibly. It should show what happens if:

interest rates increase;

policy values are lower than illustrated;

investment returns decline;

additional collateral is required;

interest deductibility is denied;

the loan must be repaid early; or

the insured lives longer than projected.

Risk disclosure should not be confused with the promotion of predetermined tax losses.

12. A conventional IFA is fundamentally different from a 10/8 arrangement

A conventional IFA should not be conflated with a 10/8 arrangement.



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17/22 In a traditional 10/8 structure:

the return credited to a particular investment account under the policy was linked to the borrowing rate;

the special investment account and the borrowing were designed to operate together;

the amount that could be maintained in the investment account could be determined by reference

the amount that could be maintained in the investment account could be determined by reference to the borrowing;

the interest-rate spread and resulting deduction were central to the structure's economics; and

the insurance-side accumulation and borrowing had a direct contractual linkage.

A conventional IFA has no comparable contractual linkage between the policy crediting rate and the loan interest rate. The cash value or other policy accumulation does not increase under a contractual formula because the borrower pays a higher loan rate. The insurer and lender may be entirely separate institutions, and the client remains exposed to policy, interest-rate, collateral and investment risk.

This distinction is reinforced by Parliament's enactment of specific rules directed at 10/8 policies. The statutory definition targets policies where:

the return credited to an investment account is determined by reference to the borrowing or policy-loan rate and would not be credited but for the borrowing; or



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18/22 the maximum amount of an investment account is determined by reference to the amount of the borrowing or policy loan.

A conventional IFA that lacks those features cannot simply be treated as the equivalent of a 10/8 arrangement because both involve life insurance and borrowing.

13. The net-position objective does not determine tax-shelter status

You refer to achieving a "NET position between the debt and the policy payout." That describes a projected economic result, not a statutory tax-shelter criterion.

Clients routinely assess assets and related liabilities on a net basis. An estate-planning projection may show:

the projected insurance benefit;

the outstanding loan;

the amount applied to discharge the loan;

resulting capital dividend account consequences where applicable; and

the net amount expected to remain for shareholders, beneficiaries or the estate.

Showing a client the net result is appropriate financial disclosure. It avoids presenting the gross death benefit as though the collateral debt did not exist.



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19/22 A projected net estate benefit does not establish that the borrower lacks legal or economic exposure. The projection may not materialize. The insured may live longer than assumed, interest rates may rise, policy performance may be lower than illustrated, the investments may decline, collateral may be called, tax deductions may be denied, or the lender may require repayment.

The client assumes those risks throughout the life of the arrangement.

14. Paragraph 20(1)(c) does not “convert” the premium into a deduction

The suggestion that an IFA is designed to “convert a non-deductible expense into a 20(1)(c) write-off” inaccurately describes the legal basis of the deduction.

The insurance premium does not become deductible under paragraph 20(1)(c). It remains non-deductible, subject only to any separate and limited deduction that may be available under paragraph 20(1)(e.2) for qualifying collateral life insurance.

The paragraph 20(1)(c) deduction relates to interest paid or payable on borrowed money used for an eligible income-earning purpose. It does not convert the insurance premium into deductible interest.

The transactions involve different expenditures with different legal characteristics:



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20/22 the premium is paid to acquire and maintain insurance coverage;

interest is paid for the use of borrowed money;

the borrowed money is deployed in an income-producing business or property; and

the investment acquired with the borrowing has its own cost, risks and tax attributes.

The fact that the policy’s cash value makes collateral borrowing commercially available does not transform the premium into interest or make the interest a deduction arising from the premium.

15. The modern rule of statutory interpretation supports a disciplined analysis

Subsection 237.1(1) must be read in its entire context and in its grammatical and ordinary sense, harmoniously with the scheme and object of the Act and Parliament’s intention.

The tax-shelter regime is directed at the promotion of property under representations that the purchaser will obtain tax losses, deductions or credits equal to or exceeding the purchaser’s genuine net investment within the statutory period. The limited-recourse and prescribed-benefit rules prevent taxpayers from overstating the capital genuinely exposed to economic risk

rules prevent taxpayers from overstating the capital genuinely exposed to economic risk.

A conventional IFA involving:

a genuine and independently established insurance need;

a policy appropriately sized for that need;



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21/22 a separately documented, full-recourse loan;

real and timely interest payments;

independently selected income-producing property;

actual exposure to investment and collateral losses;

bona fide written repayment arrangements;

no automatic or assured indefinite refinancing;

no contractual 10/8-type linkage; and

an investment cost substantially exceeding the four-year deductions

does not fit comfortably within that purpose.

16. The analysis must remain arrangement-specific

None of this means that every arrangement described as an IFA is necessarily outside the tax-shelter rules.

A different conclusion could arise where, for example:

no genuine insurance need exists;

the insurance would not have been acquired without the promised borrowing and deductions;

the arrangement is marketed primarily through predetermined tax savings;

a specific investment property is supplied as part of an integrated offering;

the represented four-year deductions equal or exceed the taxpayer's net cost;

the borrowing is legally or practically limited recourse;

the stated repayment terms are not bona fide;

interest is capitalized or not paid as required;

automatic renewals effectively negate the ten-year repayment condition;



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22/22 the taxpayer is protected against investment or collateral losses; and

side agreements change the apparent legal relationships.

Those facts should be examined on their merits. They do not establish that a properly structured conventional IFA is inherently a tax shelter.



David Kakon ✓ • You

21h ...

Math Honours, B.Sc.

I appreciate the extensive 22-part breakdown, but the statutory math ultimately hinges on a critical point.

In parts 13 and 21, you correctly highlight that section 143.2(7) deems the debt a limited-recourse amount unless there are bona fide written arrangements to repay the principal within 10 years. On the statute, we agree. Where we differ is on the commercial reality.

The tax shelter math is triggered by the representations made by the selling broker. While you suggest these arrangements require principal repayment within 10 years at the outset, I have not seen any standard IFA lending agreement that specifies a mandatory 10-year principal amortization. In reality, most IFAs over 10 years old I have seen gave absolutely no principal repayment.

This reality is corroborated by the IFA Implementation Guide published by iA Financial Group (PPI's parent company?). Under Step 8, the guide outlines that the strategy is designed so the loan and interest deduction remain "stable until death". Step 9 explicitly confirms the loan is ultimately "repaid from the death benefit".



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[Patrick Uzan https://files.ia.ca/-/media/files/solutions-cas-avances/pdf/immediate_financing_arrangement_ifaang.pdf?_gl=1*k4tfty*_gcl_au*MTM5MDgwMjY4MS4xNzg4MTQ5Nzg5*FPAU*MTM5MDgwMjY4MS4xNzg4MTQ5Nzg5](https://files.ia.ca/-/media/files/solutions-cas-avances/pdf/immediate_financing_arrangement_ifaang.pdf?_gl=1*k4tfty*_gcl_au*MTM5MDgwMjY4MS4xNzg4MTQ5Nzg5*FPAU*MTM5MDgwMjY4MS4xNzg4MTQ5Nzg5)



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Patrick Uzan I would simply add that it is unlikely anyone would actually subscribe to this plan if a mandatory out-of-pocket principal repayment within 10 years were enforced. Such a requirement completely defeats the logic of the marketing and the core concept of the strategy—which is entirely predicated on a "net benefit" calculation at mortality (the life insurance payout minus the outstanding loan).

Perhaps you could share a boilerplate, redacted lending contract used in these conventional IFAs that actually mandates full principal repayment within 10 years, rather than an interest-only facility relying on rolling renewals?

If the arrangement is engineered and represented by the broker to remain interest-only until death, it lacks a bona fide 10-year principal repayment schedule. If it lacks that schedule, it is a limited-recourse amount under 143.2(7). If it is a limited-recourse amount in respect of the property, it is a prescribed benefit under Reg 3100(3), and the statutory trapdoor opens.

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David Kakon ✓ • You
Math Honours, B.Sc.

18h ...

Patrick Uzan As to the rest of your points, I cannot comment on how PPI conducts its business. My commentary is based on what I see in the marketplace. However, I will address your claim that an IFA cannot be a tax shelter if no specific investment property is predetermined.

Subsection 237.1(1) does not require a promoter to name a specific stock or building. The statutory test is based entirely on what is reasonable to conclude from the representations made.

By illustrating the loan interest as fully tax-deductible under paragraph 20(1)(c), the presentation explicitly represents that the borrowed funds are perfectly coextensive with the acquisition cost of an income-producing property. You cannot logically represent that a property was acquired to claim the tax deduction, and simultaneously argue that no property exists to avoid the tax shelter definition.

👍 💬 📊 66



Patrick Uzan ✓ • 2nd
BA (Econ.), CPA, CA, TEP, CLU Vice-President, Professional Services at PPI

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David Kakon Every case where I have been involved in discussions with respect to the lending arrangement has been a case where the loan is full recourse, the borrower provides written confirmation to the lender of its intent to repay the indebtedness within ten years and to maintain compliance with the lender's ongoing creditworthiness requirements. It is an acknowledgment that serves as contemporaneous documentary evidence of an intention to repay. In addition, the borrower ensures that all interest obligations are paid in full and on time. There are no guarantees of automatic renewals. Any new loan has to be applied for separately and based on normal underwriting that assesses again the borrower's creditworthiness at that time. Therefore, from personal experience, I know that your contention that "it is 'unlikely' anyone would actually subscribe to this plan if a mandatory out-of-pocket principal repayment within 10 years were enforced" is false. I can understand that your experiences may have been different.

👍 💬



Patrick Uzan ✓ · 2nd

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David Kakon Furthermore, you are correct that subsection 237.1(1) does not require a promoter to name a specific asst – subsection 237.1(2) does – “the promoter shall apply to the Minister in prescribed form...”. Page 2 of CRA Form T5001 clearly asks the promoter to identify the property. Subsection 237.1(3) reinforces this point, referring to “prescribed information” and CRA’s guidance on completing Form T5001 states that the Form is “prescribed information”. I will now conclude my comments with this final point: while there are no “zero risk” guarantees on how CRA may consider assessing certain structures, it is not prudent to paint all IFA structures with the tax shelter brush. Over and out.



David Kakon ✓ · You

(edited) 16h ...

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Patrick Uzan First, what you are describing does not appear to be an IFA as it is marketed and sold in the industry. Standard IFA marketing materials and illustrations promote a lifetime credit facility where the debt is maintained until death to achieve a net estate position and lifelong interest deductions—with no illustrated out-of-pocket principal repayment schedule. If you are describing a product where clients fully pay off the principal out-of-pocket within ten years, then we are simply talking about two entirely different products.

Second, relying on Form T5001 conflates reporting mechanics with substantive law. Subsection 237.1(1) defines a tax shelter based on representations made; subsections 237.1(2) and (3) merely dictate registration. An administrative CRA form cannot override the broad s. 248(1) definition of “property”—otherwise, any promoter could bypass tax shelter rules simply by omitting the property’s specific name.

Finally, it is unfortunate that you close your comments by misrepresenting my objective. I never claimed that every IFA is a tax shelter. My memo states that no particular arrangement is a tax shelter until analyzed against the statutory math.



👍 81



David Kakon ✓ · You

(edited) 16h ...

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Patrick Uzan , I could therefore expect a PPI-branded IFA illustration to show no interest deductions beyond year 10, since there would be no outstanding loan to deduct interest on. Is that correct?

Likely not... what you're actually describing is probably a new loan issued every 10 years, not a loan genuinely repaid.

That distinction matters on two fronts. First, 143.2(12) treats a series of loans and repayments extending beyond 10 years as a single continuing indebtedness, regardless of how each individual loan is papered. Second, if the parties' actual intent and practice is to roll the facility at each maturity rather than let it lapse, the repayment clause was arguably never a bona fide arrangement to begin with — it was inserted to satisfy 143.2(7) on paper while the real, understood arrangement was continuation.

So the question isn't whether each 10-year instrument has a repayment clause: it's whether the

...the question is whether each 10-year instrument has a repayment clause, or whether the client actually exits the facility with principal repaid from independent funds, or whether a new loan simply replaces the old one against the same policy. If it's the latter, the clause was never genuine, and it does no statutory work either way.

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David Kakon ✓ · You
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(edited) 15h ...

Patrick Uzan the more technical memo is available here in case you didn't see it:

<https://armstronglife.com/tax-shelter-life-insurance-ifa-risks/>

👍 🗨️ 📊 68

Collapse replies



Kevin Kelly ✓ · 1st
Tax Lawyer

5d ...

Adam Friedlan This case (and your post!) is an important reminder for taxpayer's engaging in certain types of structured transactions.

👍 2 🗨️ 1



David Kakon ✓ · You
Math Honours, B.Sc.

5d ...

Kevin Kelly Agreed. There are two areas in particular that I think many of us are watching right now: certain financed insurance strategies that bear the hallmarks of an unregistered tax shelter, and the Havilland case. It will be interesting to see the outcome of the latter and how it ultimately impacts partnership-based flow-through share transactions.

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